

Table 8.6 Equal Weighted Returns across Varying Hold Periods

	Decile 1	Decile 10	Spread (10-1)	EW Universe	Decile 10–Universe
1 M hold	1.54%	19.03%	17.49%	11.19%	7.84%
2 M hold	2.19%	18.57%	16.38%	11.19%	7.37%
3 M hold	2.82%	17.66%	14.84%	11.19%	6.47%
4 M hold	3.35%	17.01%	13.65%	11.19%	5.81%
5 M hold	3.74%	16.57%	12.83%	11.19%	5.38%
6 M hold	4.20%	16.00%	11.80%	11.19%	4.81%
7 M hold	4.68%	15.52%	10.84%	11.19%	4.32%
8 M hold	5.18%	15.00%	9.82%	11.19%	3.80%
9 M hold	5.67%	14.36%	8.69%	11.19%	3.17%
10 M hold	6.13%	13.81%	7.68%	11.19%	2.62%
11 M hold	6.60%	13.25%	6.65%	11.19%	2.06%
12 M hold	7.18%	12.67%	5.49%	11.19%	1.48%

The results shown are equal-weighted returns from January 1, 1927, to December 31, 2014, for firms above the 40th percentile for NYSE market capitalization. The spread between the top and bottom decile monotonically decreases as the holding period increases. The spread between high and low momentum goes from 17.49 percent for a 1-month holding period to only 5.49 percent if one holds for 12 months. Additionally, what is the value-add of a long-only momentum strategy relative to an equal-weighted universe that is not sorted based on momentum criteria? For portfolios with a 1-month hold, the value add of long-only momentum over the equal-weighted universe is 7.84 percent for a 1-month hold, while the value add of long-only momentum for a 12-month hold is only 1.48 percent.

The previous results suggest that we rebalance the momentum portfolio each month. Momentum profits are larger at a more frequent rebalance period: Even if one subtracts 2.40 percent due to transaction costs, the value-add of long-only momentum over an equal-weight universe for a 1-month hold is still 5.44 percent per year, after deducting these transaction costs. The only other obstacle